The old person still targets an overall 20% equity holding. To maintain this risk profile, he has replaced his bond-like human capital with actual bonds. His equity holding as a fraction of financial wealth is now $2/(2 + 7) = 22\%$. Thus, the old person has reduced his equity allocation in his financial portfolio compared to that of the young person. Panel B of Figure 5.3 is the pictorial representation.

So, if you're a Supreme Court Justice with risk-free labor income, you should reduce your equity holdings as you grow older. The standard financial planner advice is tailor made for you, as are the slew of target date funds offered by many asset management companies.

Stock-Like Human Capital

Let's consider the case of an investor whose human capital is stock-like. This investor targets an overall 80% proportion of equities in her portfolio (yes, she is more *risk seeking* than our first investor in this example). Suppose that her human capital and financial wealth sum to $1 million just as in our other example. When young, she will allocate heavily to bonds because her human capital is already equivalent to owning stocks. Here's a balance sheet:

Young Person	
Human Capital (Stocks)	$ 800,000
Financial Wealth: Stocks	$ -
Financial Wealth: Bonds	$ 200,000
Total	$1,000,000
Equity Fraction of Total Wealth	80%
Equity Fraction of Financial Wealth	0%

Panel A

Young Person:
Stock-Like Human Capital

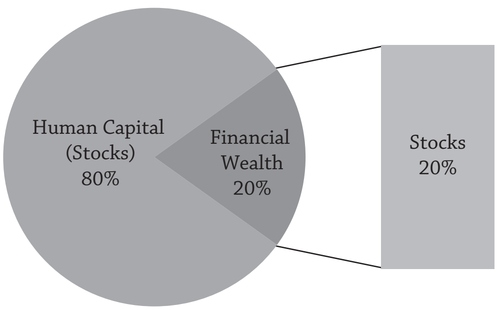

Figure 5.4